

THE VENDOR CONTRACT AUDIT

Twenty minutes with your biggest recurring bill.

Pull the signed agreement and the last invoice for the vendor you pay the most every month. Work through the five checks. Every box in this PDF is fillable — type in it, pick from the dropdowns, tick the boxes, then save.

Want the math done for you? The online version calculates everything live, draws your timeline and writes the letter as you type: overheadmoney.com/workbook. This PDF does the math only in Adobe Acrobat (free Reader works).

Which agreement are we auditing?

Start with the one that costs the most every month. Copiers, phones, software, merchant services, waste, security — any recurring vendor works.

VENDOR

WHAT IT COVERS

MONTHLY PAYMENT (\$)

1 The quote is not the contract

The proposal is a sales document. The signed agreement is the only one a court or a collections department will ever read. Anything promised in one and missing from the other doesn't exist.

Put the proposal next to the signed agreement. For each promise you were given, mark whether it appears in the signed agreement — not the proposal, not an email.

PROMISE YOU WERE GIVEN

IN THE SIGNED AGREEMENT?

Install / delivery included	-
Existing contract paid off ("we'll take care of it")	-
Service and supplies included	-
Price locked for the full term	-
Free upgrade or tech refresh mid-term	-
Training included	-

Removal of the old equipment included	-	
	-	
	-	

YOUR RESULT

Promises marked "Missing"

Count the rows above marked Missing

Fills in automatically in Adobe Acrobat. In other apps, do the math shown and type it in.

FIX Every missing promise goes into a signed addendum, or it doesn't exist.

2 One payment, two contracts

The equipment is usually a lease with a finance company. The service is with the dealer. One invoice, two agreements, two end dates — and only one of them is negotiable after you sign.

List every agreement tied to this one payment. If the end dates don't match, you'll be paying for one after the other is gone.

AGREEMENT	START DATE	TERM (MONTHS)	END DATE	AUTO-RENEWS?
Equipment lease				-
Service agreement				-
				-

HOW FAR APART ARE THE END DATES? (MONTHS)	DO THE END DATES MATCH?
	-

FIX Write every end date on one page. More than one date means more than one contract.

3 The minimum is your real price

Minimum volume, minimum charge, minimum spend — whatever it's called, it's the floor you pay whether you use it or not. Get smaller, and your real per-unit cost climbs.

MINIMUM MONTHLY CHARGE (\$)	UNITS IT COVERS	YOUR ACTUAL MONTHLY AVERAGE	UNIT
			Pages

YOUR RESULT

Rate you were quoted, per unit

Minimum charge ÷ units it covers

Your real rate, per unit

Minimum charge ÷ what you actually use

Paid for units you never used, per year

(Units covered – actual) × quoted rate × 12

Fills in automatically in Adobe Acrobat. In other apps, do the math shown and type it in.

FIX Pull twelve months of usage. Under the minimum most months? You're renting a number.

4

The rate you signed is a starting rate

Look for "adjustment", "escalation" or "annual increase". It often reads like a ceiling — "up to 10% annually". In practice, the ceiling is the plan.

MAXIMUM ANNUAL INCREASE (%)

TERM (MONTHS)

60

IS A CAP WRITTEN IN THE AGREEMENT?

MONTHLY PAYMENT EACH YEAR — THIS YEAR'S PAYMENT × (1 + INCREASE)

YEAR 1

YEAR 2

YEAR 3

YEAR 4

YEAR 5

YEAR 6

YEAR 7

YOUR RESULT

What the contract really costs over the term

Add up every year's payment × 12

Extra over the term vs. the payment you signed

Real total – (monthly payment × term)

Fills in automatically in Adobe Acrobat. In other apps, do the math shown and type it in.

FIX Compute the final-year payment before you sign — and get the cap in writing.

5

Leaving costs money

Every agreement has an end, and the end has a price that was never in the proposal. You find out what it costs at the moment you have the least leverage. Find out now instead.

TERM END / RENEWAL DATE

NOTICE REQUIRED (DAYS BEFORE)

RENEWES AUTOMATICALLY?

LAST DAY TO SEND WRITTEN NOTICE (END DATE MINUS NOTICE DAYS)

IN YOUR CALENDAR?

What leaving will cost — tick each one that applies

Ask the vendor for these in writing now, well before the end of term, while nobody needs anything from you.

☐ Return freight / shipping		☐ De-installation / pickup	
☐ Restocking or packaging fee		☐ Final meter read / true-up	
☐ Buyout / fair-market-value price		☐ Early termination / payments left	
☐ Lessor insurance charge, per month (only if you never sent your own certificate of insurance)			

YOUR RESULT

Known cost of leaving

Add up the amounts you ticked

Lessor insurance, per year

Monthly charge × 12 — usually removable with your own certificate

Fills in automatically in Adobe Acrobat. In other apps, do the math shown and type it in.

FIX Put the notice deadline in your calendar today and get the exit costs in writing.



The non-renewal letter

If the agreement renews on its own, a short written notice inside the window stops it. Sending it doesn't mean you're leaving — it means the renewal becomes a negotiation instead of a default.

Edit the letter below directly — replace everything in [brackets]. Check the agreement's notices clause for the required method (many specify certified mail or a specific address). This is a template, not legal advice.

[Date]

[Vendor name]

[Notice address from the agreement]

Re: Notice of non-renewal - Agreement [ag

YOUR AUDIT

Your action list

RED FLAGS FOUND

OVERHEAD FOUND PER YEAR

NOTICE DEADLINE

- ☐ Request a signed addendum for every promise marked Missing.
- ☐ Ask the dealer to line up (co-terminate) the agreements' end dates, in writing.
- ☐ Ask to reset the minimum to your real volume.
- ☐ Get the annual increase capped in writing — or budget for the final-year payment.
- ☐ Put the notice deadline in your calendar, and send the letter before it.
- ☐ Ask the vendor, in writing, for the full cost of returning or buying out the equipment.
- ☐ Send your own certificate of insurance to the leasing company.

Tick each one once it's done. New breakdowns every Tuesday: youtube.com/@OverheadMoney

NOTES